Fox School of Business
TEMPLE UNIVERSITY®

AS 2503

Homework 14 *(due: Nov. 3)* Fall 2026

Preparation for Lesson 15: Call & Put Options

Watch these **video lectures** *and take proper notes:*

15a (27 mins), 15b (19 mins), 15c (10 mins).

Now do the following exercises:

H 14-1 A stock has a current price of \$11.00. You purchase a 6 month call option with a strike price of \$9.00 at a cost of \$2.80 per option. What is your loss on 100 shares if the stock closes in 6 months at \$5.00? The continuous risk free rate is 4.5% per year.

H 14-2 Draw the payout and profit graph for both long and short position for each of the following assets:

(a) The stock itself.

(b) A European call option on the stock.

(c) A European put option on the stock.

(d) A risk-free zero-coupon bond.